

Effect of Academic Grades on Overall Performance Ranking of Entry Level Graduates in Private International Audit Firms in Nairobi, Kenya

^{1*}Bundi Andrian Mwenga & ²John Busienei

^{1,2}Kenya Institute of Management College

***Corresponding author's e-mail: andrianmwenga@yahoo.com**

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Abstract

Employee's academic attainment plays a big role in employee relationship and is of importance to employees and employers. For employers, academic attainment plays a big role in determining whether an employee will perform on the task given or not. This study aimed to find out the effect of academic grades on overall performance ranking of entry level graduates in private international audit firms in Nairobi, Kenya. The study was guided by a descriptive research design. This study targeted entry-level staff in the four largest private international audit firms in Kenya including Deloitte, PWC, Ernst & Young and KPMG. There are 207 entry-level staff within 1 - 5 years' experience in the four firms. Out of 207, the study sampled 135 respondents who were randomly selected. This study made use of primary data where semi-structured questionnaires were used for the collection of data. The quantitative data in this research was analyzed by descriptive statistics and inferential statistics using Statistical Package for Social Sciences (SPSS version 20). Descriptive statistics included measures of central tendencies (mean), frequencies and percentages. Inferential statistics included correlation and regression, which was used to establish the relationship between the independent and the dependent variables in this study. The findings indicated that there is a positive association between academic grades and the overall performance ranking of entry level graduates in private international audit firms in Kenya. This was supported by a correlation value of 0.296 and p value of 0.004. The study concluded that academic grade has a positive and significant effect on performance ranking of entry level graduates in private international audit firms in Kenya.

Keywords: *Academic grades, overall performance ranking, entry level graduates*

1.0 Introduction

The performance of employees has improved over the previous years due to the changing work environment and standards of living. Organizations are trying their best to improve the job satisfaction and job performance of their employees in order to improve the overall organizational performance (Pinto & Ramalheira, 2017). Academic qualification has been used as a basis of measuring performance in most work places. Goad (2002) argues that employees with higher academic qualifications perform better compared to those of lower academic qualifications. Organizations are trying their best to improve the job satisfaction

and job performance of their employees in order to improve the overall organizational performance.

Bartone (2010) observes that the aim of employee academic qualifications and performance is to form a basic standard under which employees will be engaged and form a predictable standard of performance. Robinsons (2007) argues that organizations and managers often use education as a measure of a person's skills and abilities during the hiring and recruitment process. Some Organizations even visit institutions to select the best employees in the hope that these people will turn out to be excellent employees who perform very well at the work place.

According to U.S. National Center for Education Statistics, the proportion of Americans attaining more education continues to increase. For example, the percentage of individuals completing high school increased from 69% in 1980 to 86% in 2006; the percentage of individuals (aged 25 and older) who have completed college increased from 17% in 1980 to 28% in 2006. In both the labor economics and organizational sciences literatures, there is substantial evidence that individuals' educational attainments are associated with positive career outcomes, including salary level, number of promotions, development opportunities, and job mobility (Ng, Eby, Sorensen, & Feldman, 2005).

Chinese higher education system has been under transformation since 1980s with the introduction of market mechanisms. Academic profession in China has also been changing under the impact of various approaches of new public management. One important aspect is concerned with the performance-based academic promotion policy (Zheng, 2014). Zheng examined how the current academic promotion policy affects academic work in China. The research results show that under the impact of academic promotion policy, academics have internationalized their activities, put priority to research, been involved in social service, and improved the quality of research.

Cook (2008) observes that employing people depending on their formal academic qualifications can be one of the effective methods of ensuring increased job performance, but it causes several issues. For instance, students will go to universities to increase their chances of getting better jobs, not for study, because some companies allow only university graduates to apply for vacancies. The other reason is that formal academic qualifications do not mean applicants are experts and will perform better at work.

1.1 Problem Statement

The importance of looking at employee's academic attainment in measuring performance cannot be overlooked (Hazelkorn, 2015). Employee's academic attainment plays a big role in employee relationship and is of importance to employees and employers. For employers, academic attainment plays a big role in determining whether an employee will perform on the task given or not. Most times academic grade is the first element in consideration before employees can be hired because their job performance is perceived to be directly related to their academic attainment (Sheridan, 2013). This is seen in most employers insisting on a level of academic attainment before even considering an employee for hiring. Of interest to this research is how academic grades affect job performance among entry-level graduates in private international audit firms.

However, higher academic grades do not always translate into better performance. According to a report (MoE, 2015) by policy-makers in the Treasury and Ministry of Education, some of

the most pressing challenges that confront university education in Kenya include inequalities, inadequate capacity to cater for growing student demand, and a mismatch between skills acquired by graduates and the demands of industry. Further, there has been increased outcry by the employers over low quality of university graduates. The Inter-University Council for East Africa IUCEA (2014) found in a study that only 49% of graduates from Kenyan universities were believed to be fit for jobs. This implied that majority (51%) of the graduates were unfit for jobs.

Previous studies have attempted to look at the relationship between academic grades and job performance. Wise (2013) examined the relationship between academic performance and job performance among college graduates and found that academic grades were consistently related to the rate of salary increase and the rate of promotion. Ng and Feldman (2009) assessed the effects of education level on job performance and found that education attainment positively influences core task performance. Kotur and Anbazhagan (2014) looked at how the factors of education and work experience influence the performance levels of the workers in the firm and found that education and work experience have direct effect on the performance of the workers to varying degrees. Baker (2011) analyzed the relationship between the educational attainment of correctional officers and their job satisfaction levels and found an inverse relationship between their educational attainment and job satisfaction levels under certain conditions. Previous research focused on effect of academic grades on job performance in other sectors and countries. This research sought to address the existing contextual and geographical gaps by investigating the effect of academic grades on job performance.

1.2 Objective of the Study

The aim of the study was to determine the effect of academic grades on overall performance ranking of entry level graduates in private international audit firms in Nairobi, Kenya.

2.0 Literature Review

2.1 Theoretical Framework

Human capital theory suggests that the abilities and knowledge acquired by individuals are likely to be rewarded with higher earnings in the labor market (Becker, 1964). Education and work experience are the two forms of human capital individuals are most likely to acquire during their careers (Myers, Griffith, Daugherty & Lusch, 2004). It should be noted, though, that in numerous cases educational level and amount of work experience are likely to be negatively correlated. Those who spend more years in school will have less time available in which to accumulate work experience, whereas those who enter the labor market early typically accumulate less formal education. Education promotes core task performance by providing individuals with more declarative and procedural knowledge with which they can complete their tasks successfully. For example, more education in accounting helps students acquire the expertise needed to become CPAs and advance in the accounting profession. The underlying premise is that, by equipping students with greater declarative and procedural knowledge, schools help students develop deeper competence in their chosen vocations and help them move up organizational and occupational career ladders more quickly. Taking these findings together, then, we expect that education will be positively related to core task performance. The human capital theory is important in this study since it links education to job performance. Individuals with higher academic grades are expected to be more productive compared to those with lower grades. However, this is not always the case, since

higher academic grades could also mean that the individuals have not had sufficient experience in the job market. In this study, the focus is on the effect of academic grades on job performance among entry-level graduates in private international audit firms in Nairobi, Kenya.

2.2 Empirical Review

Wise (2013) examined the relationship between academic performance and job performance among college graduates. Data used pertain to persons working in a large corporation employing both technical and non-technical employees. College quality and grades were found to be consistently related to the rate of salary increase and the rate of promotion, although they seem not to be related to initial salary. Leadership ability and initial job experiences allowing expression of one's own ideas were also found to be positively associated with job performance, while a strong desire for job security was found to be negatively associated with the rate of salary increase. The study by Wise presents a contextual gap since it did not focus on private international audit firms in Kenya.

Ng and Feldman (2009) assessed the effects of education level on job performance in 2 ways. First, it provides a meta-analysis on the relationships between education level and 9 dimensions of job behaviors representing task, citizenship, and counterproductive performance. Results showed that, in addition to positively influencing core task performance, education level is also positively related to creativity and citizenship behaviors and negatively related to on-the-job substance use and absenteeism. Second, the study investigates the moderating effects of sample and research design characteristics on the relationships between education and job performance. Significant results were found for gender, race, job level, and job complexity. The study presents a geographical gap since it was not conducted in Kenyan context.

Kotur and Anbazhagan (2014) study investigated the different performance levels of the workers in the Chittoor Sugar factory located at the Chittoor town of South India. The study also looked at how the factors education and work experience influence the performance levels of the workers in the firm. The study established that education and work experience have direct effect on the performance of the workers to varying degrees. Workers in the medium range on educational qualification perform better compared to those in the extremes and the same holds good in the case of work experience as well. The study presents a geographical gap since it was not conducted in Kenyan context.

Faith (2014) sought to determine the relationship between academic qualification and employee performance. The study adopted a descriptive design. The target population consisted of employee of Mukuru Slums Development Projects. The finding from the study revealed academic qualification as perceived to have a positive relationship with job performance. The study concluded that academic qualification has a positive relationship with employee performance. It is recommended that academic qualifications should be the key determinant of the job designation, responsibilities and tasks given to employees since the more one is academically qualified, the better the employee performance on the job. The study presents a contextual gap since it did not focus on private international audit firms in Kenya.

3.0 Research Methodology

The study adopted a descriptive research design. This study targeted entry-level staff in the four largest private international audit firms in Kenya including Deloitte, PWC, Ernst & Young and KPMG. There are 207 entry-level staff within 1 - 5 years' experience in the four firms. Out of 207, the study sampled 135 respondents who were randomly selected. This study made use of primary data where semi-structured questionnaires were used for the collection of data. The quantitative data in this research was analyzed by descriptive statistics and inferential statistics using Statistical Package for Social Sciences (SPSS version 20). Descriptive statistics included measures of central tendencies (mean), frequencies and percentages. Inferential statistics included correlation and regression, which was used to establish the relationship between the independent and the dependent variables in this study.

4.0 Results and Discussion

4.1 Descriptive Statistics on academic grades

The respondents were asked to indicate their level of agreement with the various statements relating to overall performance ranking in a 5-level Likert scale. The descriptive results are shown in Table 1. The results show that 35 (38%) of the respondents with a mean aggregate score of 3.2, disagreed with the statement that the performance of entry-level graduates with higher academic grades is better than those with lower grades, 45 (48.9%) disagreed that academic grades have contributed to entry level graduates' performance appraisal ratings.

Further, 38(41.3%) of the respondents agreed that Academic grades have contributed to new employees' skill and expertise on work assignments while 53(57.6%) of the respondents agreed that academic grades have contributed to efficiency and effectiveness of among entry level graduates. The aggregate mean score of 3.1 indicate that majority of the respondents were neutral in regard to most of the statements relating to overall performance ranking.

Table 1: Descriptive Statistics of overall performance ranking

Statement	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree	Mean
The performance of entry-level graduates with higher academic grades is better than those with lower grades.	5(5.4%)	30(32.6%)	19(20.7%)	19(20.7%)	19(20.7%)	3.2
Academic grades have contributed to new employees' skill and expertise on work assignments	5(5.4%)	20(21.7%)	29(31.5%)	24(26.1%)	14(15.2%)	3.2
Academic grades have contributed to efficiency and effectiveness of among entry level graduates.	5(5.4%)	15(16.3%)	19(20.7%)	43(46.7%)	10(10.9%)	3.4
Academic grades have contributed to entry level graduates' performance appraisal ratings	20(21.7%)	25(27.2%)	14(15.2%)	28(30.4%)	5(5.4%)	2.7
Aggregate Mean score						3.1

Further, the respondents were asked to indicate their overall performance rating in each year. Results in Table 2 show that in 2013, 55.6% rated their performance as average while 44.4%

rated it above average. In 2014, 71.4% rated their performance as average while 28.6% rated it above average. In 2015, 54.5% rated their performance above average while 45.5% rated it average. In 2016, 52.8% rated their performance above average while 47.2% rated it average. In 2017, 64.1% rated their performance as average while 35.9% rated it above average.

Table 2: Overall Performance Rating

Overall Performance Rating	Above Average	Average	Below Average
Overall performance rating in each year_2013	44.40%	55.60%	0
Overall performance rating in each year_2014	28.60%	71.40%	0
Overall performance rating in each year_2015	54.50%	45.50%	0
Overall performance rating in each year_2016	52.80%	47.20%	0
Overall performance rating in each year_2017	35.90%	64.10%	0

4.2 Correlation between academic grades and overall performance ranking

The results presented in Table 3 shows the correlation between academic grades and performance rating. The results show statistical evidence that academic grades and performance rating are positively and significantly associated where $r = .296^{**}$, and $P = .004$. This implies that both variables change in the same direction.

Table 3: Correlation between academic grades and overall performance ranking

		Performance Rating	Academic Grades
Performance Rating	Pearson Correlation	1	
	Sig. (2-tailed)		
Academic Grades	Pearson Correlation	.296**	1
	Sig. (2-tailed)	0.004	

** Correlation is significant at the 0.01 level (2-tailed).

4.3 Effect of Academic grades on overall performance ranking

Academic grade variable was further subjected to a regression to test its effect on the overall performance ranking of entry level graduates in private international audit firms in Kenya. The results are presented in Table 4, 5 and 6.

Table 4: Academic grades and overall performance ranking: Model Summary

	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.296a	0.088	0.077	0.9784

a Predictors: (Constant), Academic Grades

Results in Table 4 indicate that academic grade accounts for 8.8% of the total variations in the overall performance ranking of entry level graduates in private international audit firms in Kenya ($R^2 = 0.088$). These results confirm the correlations output in Table 3, that a positive and significant relationship exists between academic grades and performance rating of entry level graduates in private international audit firms ($\beta_1 = 0.455$, $P = .004$) as also shown in Table 4. Table 5 also indicates that the model is valid (a good fit of the data), ($F_{(1, 90)} = 8.642$), ($P = .000$) which implies that academic grade is a statistically significant predictor of the overall performance ranking of entry level graduates in private international audit firms in Kenya

Table 5: Academic grades and overall performance ranking: ANOVA Summary

Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	8.272	1	8.272	8.642	.004b
	Residual	86.154	90	0.957		
	Total	94.427	91			

a Dependent Variable: Performance Rating

b Predictors: (Constant), Academic Grades

The value of regression shown in Table 6 indicate that academic grades will always exists in the private international audit firms in Kenya at a certain significant minimum ($\beta_0=1.481$, $P=0.011$).

Table 6: Academic grades and overall performance ranking: Regression Result

Model		Unstandardized Coefficients		Standardized Coefficients	t	Sig.
		β	Std. Error	Beta		
1	(Constant)	1.481	0.572		2.587	0.011
	Academic Grades	0.455	0.155	0.296	2.94	0.004

a Dependent Variable: Performance Ranking

The first null hypothesis predicted no significant relationship between academic grades and performance ranking of entry level graduates in private international audit firms in Kenya. The findings from correlation analysis ($r=.296^{**}$, $P=0.004$) and from regression analysis ($\beta_1=.455$, $P=.004$) indicates that there is a positive and significant effect of academic grades on performance ranking of entry level graduates in private international audit firms in Kenya. Therefore, the null hypothesis is rejected in favour of alternative and the study concludes that there is a positive and significant effect of academic grades on performance ranking of entry level graduates in private international audit firms in Kenya. The study findings are consistent with the work of Kotur and Anbazhagan (2014), who established that education and work experience have direct effect on the performance of the workers to varying degrees. Further, Faith (2014), concluded that academic qualification has a positive relationship with employee performance.

5.0 Conclusion

The study concluded that academic grade has a positive and significant effect on performance ranking of entry level graduates in private international audit firms in Kenya. Based on the findings, an improvement in academic grade would significantly increase the overall performance ranking.

6.0 Recommendations

The study provides a solid base for the firms to build on skills development. This study recommends that audit firms should invest in recruiting staff who are top performers in their academic's sphere. The recruitment strategies should also include skills-based hiring and assessment for organizational fit. Robust training and development and on the job training of the staff should continue to be an area of focus. This will further enhance the job performance of entry-level new employees.

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